

DEPARTMENT OF VETERANS AFFAIRS

SOLE SOURCE JUSTIFICATION UNDER SIMPLIFIED PROCEDURES FOR CERTAIN COMMERCIAL ITEMS IN ACCORDANCE WITH RFO FAR 12.201-1

Acquisition Plan Action ID: 36C263-26-AP-1550

1. **Contracting Activity:** Department of Veterans Affairs, Network Contracting Office 23 located at 1303 5th Street, Suite 300 Coralville, IA 52241, in support of Veterans Integrated Service Network (VISN 23)

2237-499-26-3-6765-0043

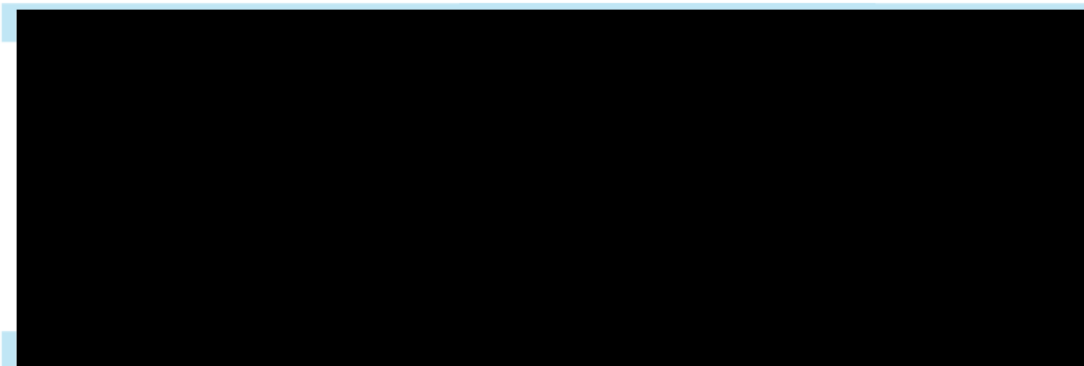
2. **Nature and/or Description of the Action Being Processed:**

VISN 23 requires a sole source 3-year single award, fixed price indefinite delivery/indefinite quantity contract for Omnicell maintenance services to support equipment and software at VISN 23 sites. Current support contract V797D-30111 36C26321F0046 expires 4/30/2026, so a new contract is required beginning 5/1/2026 to prevent a lapse in coverage.

3. **Description of Supplies/Services Required to Meet the Agency's Needs:**

VISN 23 pharmacies utilize the Omnicell Inc centralized pharmacy dispensing system. Omnicell Inc's centralized pharmacy dispensing and IV compounding system uses advanced robotics, barcode-driven workflows, and integrated inventory and medication-use analytics. Central Pharmacy Automation enables zero-touch, zero-error processes that improve efficiency and support a culture of zero harm. Inventory management increases visibility to reduce cost, waste, and workarounds, while Medication Usage Analytics offers real-time insights to control spending, enhance patient experience, and prevent drug diversion. Robotic workflows handle repetitive dispensing tasks with greater speed and precision than manual methods, reducing errors and saving staff time.

The maintenance repair services required include all necessary licensing, software, hardware, mounting solutions, labor, materials, tools, parts, equipment, components, testing, training, technical support, maintenance, repair, and project management (including travel) to maintain and support Omnicell equipment at VISN 23 Health Care Systems, including Fort Meade, Hot Springs, Central Iowa, Fargo, Iowa City, Sioux Falls, and St. Cloud.



4. **Statutory Authority Permitting Restricted Competition:**

FAR 12.201-1 Simplified Procedures for Certain Commercial Items. The statutory authority for applying the Simplified Procedures for Commercial Items of FAR 12.201-1 is 41 U.S.C. § 1901 and is implemented by FAR 12.201-1 for restricting competition on this procurement. **Competition is restricted on this procurement for the reason below:**

- ☒ (X) Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements
- ☐ () Unusual and Compelling Urgency
- ☐ () Industrial Mobilization, Engineering, Developmental or Research Capability or Expert Services
- ☐ () International Agreement
- ☐ () Authorized or Required by Statute
- ☐ () National Security
- ☐ () Public Interest

5. **Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):**

In a medical setting, wherever the number of automated medication systems is greater, compatibility with existing equipment is essential. These Omnicell systems are connected and exchange information between medical departments. Omnicell software applications are essential for accurate dispensing, dosage, inventory reporting and regulatory compliance conformance. This system provides the ability to dispense from any cabinet, anywhere in the hospital. The Omnicell system is proprietary to Omnicell Inc. Only Omnicell Inc is authorized to service their proprietary system.

Omnicell supplies the cabinets and provides 24-hour telephone support and on-site support for both critical and non-critical system issues including software updates and upgrades. There are many types of automated medication dispensing systems on the market. However, only the Omnicell system is compatible with our existing Omnicell cabinets and server. Change over to another vendor would require extensive training and procurement of an additional server, as well as full replacement of the entire fleet of cabinets and carts to maintain a single system.

Working with multiple types of medication cabinets would create unnecessary confusion for the clinical staff. Additionally, a complete replacement of the Omnicell system at all of the VISN 23 Health Care Systems would cost the Government approximately over \$8,045,570.22. Finally, to replace the Omnicell system completely would cause indescribable delays and downtime for the Pharmacy Department due to the requirement of developing new interfaces to CPRS, VistA Pharmacy Package, Pandora, and Parata, and increase the probability of prescription dosing errors approximately tenfold, which directly threatens patient safety.

The market research clearly demonstrates that Omnicell Inc. is the only source capable of meeting VA's operational and technical requirements without introducing risk to continuity of service or compliance. Utilizing non-OEM providers would present significant risks, including:

System Integrity Risks: Non-OEM vendors lack proprietary knowledge and certified parts, which could compromise equipment performance and reliability.

Warranty and Compliance Risks: Using unauthorized providers may void warranties and violate VA compliance standards, leading to costly repairs and potential regulatory issues.

Patient Safety Risks: Any service interruptions or equipment malfunctions caused by non-certified maintenance could directly impact patient care and critical healthcare operations.

6. Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable:

Omnicell Inc was emailed for a list of authorized small business partners capable of providing these services. Omnicell's response verified Omnicell Inc is the sole provider of the required maintenance support services.

7. Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable:

The anticipated cost will be considered fair and reasonable based on Comparison of Proposed Prices with Prices Found Reasonable on Previous Purchases (FAR 13.106-3(a)(2)(ii)).

8. Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:

Comprehensive market research, including a search using the SBA Small Business Search tool, confirms that there are no Service-Disabled Veteran-Owned Small Businesses (SDVOSBs), Veteran-Owned Small Businesses (VOSBs), or other small businesses capable of fulfilling this requirement. Therefore, the VA Rule of Two cannot be satisfied, and the requirement cannot be set aside for SDVOSB/VOSB competition.

Further analysis confirms that Omnicell Inc., the Original Equipment Manufacturer (OEM), is a large business and the sole provider of the required maintenance support services. Limitations on Subcontracting apply to all small business set-asides, and no small businesses are similarly situated to Omnicell Inc. This eliminates the feasibility of a small business set-aside. The market research clearly demonstrates that Omnicell Inc. is the only source capable of meeting the VA's operational and technical requirements without introducing risk to continuity of service or compliance.

9. Any Other Facts Supporting the Use of Other than Full and Open Competition:

None.

10. Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:

OMNICELL INC
500 CRANBERRY WOODS DR
CRANBERRY TOWNSHIP, PA 16066-5224

11. A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required:

Once the entire server and system have been replaced and compatibility with Cerner is confirmed, the procurement will be conducted through a competitive process. The Government will continue to conduct market research to ascertain if there are changes in the marketplace that would enable future actions to be competed.

12. **Requirements Certification:** I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

13. **Approvals in accordance with the [VHAPM Part 806.3 OFOC SOP:](#)**

- a. **Contracting Officer or Designee's Certification (required):** I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

JOSHUA IMDACHA

Digitally signed by JOSHUA

IMDACHA

Date: 2026.02.24 14:23:32 -06'00'

Joshua Imdacha
Contracting Officer
Network Contracting Office 23

Date

- b. **One Level Above the Contracting Officer (Required over \$350K but not exceeding \$900K):**
I certify the justification meets requirements for other than full and open competition.

MICHAEL CASPER

Digitally signed by MICHAEL CASPER

Date: 2026.02.25 14:57:57 -06'00'

Mike Casper
Branch Chief Supplies/Services Team 3
Network Contracting Office 23

Date

SCOTT PETRIN

Digitally signed by SCOTT PETRIN

Date: 2026.03.04 12:20:39 -06'00'

Scott J. Petrin
Director of Contracting
Network Contracting Office 23

Date

- c. **VHA Advocate for Competition and RPO HCA Review and Approval:** I have reviewed the foregoing justification and find it to be complete and accurate to the best of my knowledge and belief and approve \$900K to \$90 million for other than full and open competition.

DARYL BERG

Digitally signed by DARYL

BERG

Date: 2026.03.10 14:15:36
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03/10/2026

Daryl A. Berg
Executive Director, RPO Central
Head of Contracting Activity

Date